which fed back into income tax and VAT. GST should similarly be seen as a structural GDP-enhancing reform. We should have been comfortable running up larger budget deficits in the short run. An insistence on achieving revenue neutrality in the short run was a mistake.

Not all deficits are bad

Every now and then, we get unhappy when there is a large bilateral trade deficit between country *i* and country *j*. As an example, Donald Trump has expressed concern about the bilateral US–China trade deficit. It is easy to slip into nationalism and nativism through the lens of the bilateral trade deficit.

However, international trade should always be seen in its entirety. The US imports cheap manufacturing from China, uses this to produce high-end services, and exports these to affluent countries. What must be judged is the overall trade balance of a country, and never a bilateral trade balance.

Some people view a large current account deficit as a failure to export. However, the macroeconomic identity teaches us that the current account deficit is the gap between investment and savings.

When the investment of a country is larger than the savings of a country, this shows up as a current account deficit. If the financial system is allocating resources well, investment results in GDP growth, and it is better to import capital. A reduced pace of investment is worse than a large current account deficit, where we are importing capital for the purpose of investment.

The legitimate concern about the import of capital lies in ensuring that there is a high degree of diversification. Capital should be coming into the country from a heterogeneous class of players, through many different financial channels, into many different kinds of domestic assets. This diversification will generate sustainable financing of the current account deficit. Once this is achieved, there is no difficulty associated with investment that is larger than savings.